

offering, and its friends (Berkshire Hathaway, Longleaf Partners, and Legg Mason Value Trust) invested hundreds of millions in the business. Now, once Warren Buffett, Bill Miller, Staley Cates, and Mason Hawkins publicly backed the business with their dollars, the odds of Level 3 going bankrupt pretty much went to zero. The halo these investors provided meant that if Level 3 needed more capital, it could easily get more from a plethora of investors. Once this offering was done, the bonds rallied and I exited. As I write this in 2006, Level 3 has not had to file for bankruptcy. On the contrary, most of Level 3's bonds are trading above par. The overhang is completely gone.

Based on the above information, here were the conservative odds on buying those 6 percent converts at 19 cents in 2002:

Odds of receiving \$1 in 2009 and 30+ percent interest from 2002-2009	50 percent
Odds of getting the \$0.19 investment back (breakeven)	45 percent
Odds of a loss of \$0.13	2 percent
Odds of a total loss	3 percent

We had a 50 percent chance of receiving \$1.36 for every 19 cents invested and a 95 percent chance of no loss of principal. This sounded like "Heads, I win; tails, I don't lose much!" Kelly suggests we bet over 92 percent of the pot on this mouthwatering bet. Being a chicken, I only put 10 percent of the assets I managed into Level 3 converts.

The 6 percent 2009 converts got down to the 18 cent to 19 cent range for just a few days in 2001 and 2002. However, they traded under 30 cents for several months during that time. We could have invested several million